

EXECUTIVE SUMMARY

A. Introduction

The City of Caloocan was created on February 6, 1962 by virtue of Republic Act No. 3278, dubbed as the “Gateway to the North” because of its location and proximity to road networks joining towards North.

Pursuant to Republic Act No. 7160 or the Local Government Code of 1991, the City, like other government units, enjoy its autonomy in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government thrust for sustainable social and economic growth.

For CY 2020, the City had 5,235 plantilla positions distributed among the 36 departments/offices. Of the total, 16 are elective, 1,608 are permanent, 118 are co-terminous, 259 are casual employees 247 are contractual and 2,987 are job order employees.

B. Scope and Objectives

The audit covered the accounts and operations of the City of Caloocan for the period January to December 31, 2020. The audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAI) to: (a) verify the level of reliance that may be placed on management’s assertions on the financial statements; (b) determine the extent of compliance with applicable laws, rules and regulations; (c) recommend agency improvement opportunities; and (d) ascertain the extent of implementation of prior year’s audit recommendations.

C. Financial Highlights

For CY 2020, the City’s assets, liabilities and equity for the year were P21.772 billion, P9.939 billion and P 11.833 billion, respectively. The said accounts have increased by P1.358 billion, P1.248 billion and P109.692 million, respectively, details shown as follows:

	2020	2019	Increase/Decrease
Assets	21,771,799,844	20,413,742,917	1,358,056,927
Liabilities	9,938,639,767	8,690,275,057	1,248,364,710
Equity	11,833,160,077	11,723,467,860	109,692,217

While the City’s income, expenses and net income for the same year were P8.903 billion, P8.819 billion and P83.798 million, respectively. The said accounts have also increased by P2.630 billion, P3.589 billion and decreased by P959.326 million, respectively in CY 2020, presented as follows:

	2020	2019	Increase/Decrease
Income	8,903,099,005	6,273,266,424	2,629,832,581
Expenses	8,819,300,379	5,230,141,957	3,589,158,422
Net Income	83,798,626	1,043,124,467	(959,325,841)

On the other hand, the City's appropriation and obligation for CY 2020 have total balances of P9.773 billion and P7.370 billion, respectively, and have also increased by P713.519 million and P1.134 billion, respectively in the same year.

	2020	2019	Increase/Decrease
Appropriation	9,772,864,120	9,059,344,628	713,519,492
Obligation	7,370,458,157	6,236,101,233	1,134,356,924

D. Operational Highlights

The City's reported major accomplishment for implemented infrastructure projects on the 1st quarter of CY 2020, however for the 2nd to 4th quarters of CY 2020, due to the onset of COVID-19 Disease, most of the appropriations allocated for various programs, projects and activities were realigned for COVID-19 related expenses to address the basic needs of the constituents and curtail the further spread of the virus, as follows:

- Implemented infrastructure projects such as installation of streetlights, roads and drainage improvements, improvement of street and pathwalks, construction of rip-raps and box culverts, among others;
- Procurement of relief goods, personal protection equipment, among others for support operations during COVID-19 emergency response and for the immediate needs, sustenance and protection of the City's constituents from the effect and further threat of COVID-19 virus;
- Provision of financial and food assistance to the City's constituents most especially the less fortunate and marginal sector of the City, to ensure their financial stability and support in times of the pandemic;
- Procurement of necessary medical, laboratory supplies and equipment, drugs and medicines to ensure availability of the same in the various City Health Centers, Caloocan City Medical Center and Caloocan North Medical Center;
- Conducted free consultation and examinations under the health care and social services for the less privileged constituents;
- Implemented various health care and social services such as Medical Mission, Operation Tule, Family Planning, Maternal Care and Child Health Program,

Adolescent Care, Nutrition, Dental, and Tuberculosis Program for its constituents;

- Provided various services clients in the form of financial assistance (medical and burial), free legal assistance, free birth registration/discounted corrections of birth certificates, medical check-up/provision of medicines; and
- Access to low cost education through the University of Caloocan City.

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements due to errors and deficiencies that misstated the affected account balances, discussion of which are included in Part II of the report and summarized as follows:

1. The accuracy of the reported balance of Cash–Local Treasury account could not be established due to unreconciled difference of P3.820 million between the accounting books and the City Treasurer's Office records caused by: (a) incorrect recording in the subsidiary ledgers; (b) unupdated cashbook; and (c) absence of reconciliation contrary to COA Circular No. 2015-009 dated December 1, 2015 and Section 26 of the New Government Accounting System (NGAS) Manual for Local Government Units (LGUs), Vol. II.

We recommended that the:

- a. City Accountant and the City Treasurer immediately reconcile their records and submit to the Office of the City Auditor the reconciliation statements supported with complete documentations;
 - b. City Accountant record only the amount of cash received by the Local Treasurers and credit the account for deposits to Authorized Government Depository Banks (AGDB) in compliance with COA Circular No. 2015-009;
 - c. City Treasurer record and update the transactions in the cashbook daily, foot and close the books at the end of each month in compliance with Section 26 NGAS Manual for LGUs, Vol. II; and
 - d. City Accountant and the City Treasurer prepare reconciliation reports of their books of accounts at least quarterly to ensure compliance with Section 181(c) of the GAAM, Vol. I.
2. The Cash in Bank-Local Currency account was overstated by P15.398 million due to: (a) unrecorded/unadjusted book reconciling items in CY 2020 and prior years in the net amount of P21.594 million; (b) non-cancellation of stale checks totaling P4.217 million; (c) inclusion of Deposit in Transit as bank reconciling

item amounting to P0.027 million; (d) existence of negative balances of two bank accounts totaling P0.991 million; and (e) non-inclusion of City's five bank accounts totaling P1.014 million.

We recommended that Management require the:

a. City Accountanting Office (CAO) to-

- Coordinate with the City Treasurer's Office (CTO) to secure the necessary debit and credit memos from the concerned banks to support the unrecorded reconciling items;
- Conduct immediate identification and thorough verification of all outstanding reconciling items not yet taken up in the books in order to establish the correct balances of the Cash in Bank accounts and thereafter furnish the City Auditor's Office the copies of Journal Entry Voucher, for validation purposes;
- Effect the necessary adjusting entries for stale checks amounting to P4,216,996.86 and deposit in transit of P27,204.21;
- Record the five bank accounts with balances totaling P1,014,365.14 which were not included in the CIB accounts; and
- Prepare BRS for the 14 bank accounts.

b. CTO to-

- Send a written notice to the payees one month before the check becomes stale as required in Section 59 of the NGAS Manual;
- Stale checks shall be reported and attached to the RCI prepared at the period of cancellation;
- Request for the re-issuance of the check amounting to P27,204.21 from the issuer; and

c. CTO and the CAO to:

- Provide evidence that the checks are not outstanding, voided and no obligations exist, for improperly reported stale checks; and
- Exert full efforts in identifying and analyzing the possible cause of the negative balances and effect the necessary adjusting journal entries in the books of accounts.

3. The reported balance of Cash in Bank account in the Financial Statement as of December 31, 2020, cannot be ascertained due to: (a) non-confirmation of 10 bank accounts totaling P128.646 million; (b) non-submission of the Bank Reconciliation Statements of 14 bank accounts totaling P190.720 million; and (c) absence of necessary documents supporting the BRS.

We recommended that Management require the City Accounting Office to:

- a. Coordinate with the PNB, PVB and DBP to determine the nature and details of the 10 unconfirmed bank accounts and also request for the bank statements from the said banks for reconciliation purposes and effect the necessary adjusting entries with complete supporting documents.
 - b. Submit the BRS with supporting documents of the 14 bank accounts totaling P190,719,730.05 in compliance with Paragraphs 3.2 and 3.4 of COA Circular No. 96-011.
 - c. Submit copies of the debit/ credit memos, cancelled and paid checks and all other supporting documents for the 35 BRS, in compliance with Paragraph 3.5 of COA Circular No. 96-011.
4. The Cash in Bank-Local Currency, Current Account (CIB-LCCA) under the Trust Fund totaling P15.831 million has been dormant for more than five years, hence, the existence of the same cannot be ascertained.

We recommended that Management require the CAO to reconcile its records with the records of the SA, to facilitate the remittance of fund balances to the concerned SA, and the preparation of necessary adjusting entries in the books.

5. The existence, validity and reliability of Property, Plant and Equipment accounts totaling of P19.402 billion cannot be ascertained due to: (a) unreconciled discrepancies between the accounting records and the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) totaling P1.462 billion; and (b) unidentified prior years' balances of P608.885 million.

We reiterated our previous year's recommendation that Management require the:

- a. GSO and CAO in coordination with various offices and departments to continuously reconcile their records and make the necessary adjustments;
- b. CTO to provide copies of the TCTs to the GSO to facilitate identification and location of the real estate properties of the City; and
- c. CAO to determine the composition of the unidentified prior years' balances in order to determine if the same were fully depreciated and/or no longer existing.

6. The correctness and reliability of the balances of the Construction in Progress accounts in the total amount of P297.743 million could not be ascertained due to: (a) unidentified beginning balances of P245.524 million; (b) inclusion of completed projects of P18.508 million; and (c) absence of detailed information on accounting entries totaling 33.711 million.

We recommended that the Management require the CAO and CED to:

- a. Exert more effort to locate the relevant information/documents pertaining to the beginning balances of the CIP accounts in CYs 2012 and prior years;
- b. Coordinate with the City Engineers' office to determine whether the projects implemented in CYs 2014 to 2019 were unfinished or already completed, and prepare accounting entries to transfer the CIP Accounts to the respective asset accounts and compute for the depreciation and accumulated depreciation; and
- c. Provide necessary information and copies of the JEVs for the correcting/adjusting entries, to ensure the accuracy of balances of the CIP and other affected accounts in the financial statements.

F. Other Significant Observations and Recommendations

The following are the other significant findings and recommendations in the audit of the City of Caloocan for CY 2020:

1. The City maintains several accounts with the PNB totaling P86.887 million contrary to Section 5.2 of Department of Finance (DOF) Circular No. 01-2017 dated May 11, 2017, thus, exposing government funds to the risk of possible loss in case of bankruptcy of the said private bank.

We recommended that Management require the:

- a. CAO to request from PNB a copy of the confirmation of balances for all accounts maintained in the said bank, if any, prepare Bank Reconciliation Statements for the five PNB bank accounts and make the necessary adjustments in the books; and
 - b. CTO to immediately transfer the remaining deposits from PNB, to any of the AGDB listed under Section 5.2 of the DOF DC No. 01-2017.
2. Cash advances totaling P80.543 million remained unliquidated as of December 31, 2020, due to the failure of the accountable officer to liquidate the said advances within the prescribed period and non-observance of the guidelines in the granting and liquidation of cash advances under COA Circular No. 97-002 dated February 10, 1997, and Section 89 of PD No. 1445.

We reiterated our prior year's recommendation that Management require the City Accountant to:

- a. Exert earnest efforts to locate the documents/whereabouts of the accountable officers with cash advances since CY 2002 to determine whom to issue demand letters for the liquidation of the CAs, if not, payment of the same if proven not utilized at all;
 - b. Strictly monitor the liquidation of cash advances by sending demand letters regularly, particularly to accountable officers and employees who are still in active service;
 - c. Initiate the filing of appropriate charges against the accountable officers who failed to settle their accountabilities after due demand;
 - d. Strictly comply with the general guidelines in the in the granting and liquidation of cash advances under COA Circular No. 97-002 dated February 10, 1997, and Section 89 of PD No. 1445; and
 - e. Enforce strictly the pertinent provisions of Paragraph 9(1)(2)(3) of COA Circular No. 2012-004 dated November 28, 2012.
3. Accounts Payable for General Fund, Special Education Fund and Trust Fund of P25.299 million were outstanding for more than two years without details and supporting documents, hence, the reported balance of the said account in the financial statements is of doubtful validity.

We reiterated our previous years' recommendation that the Management require the CAO to:

- a. Analyze and conduct a thorough review of the transactions and their supporting documents and check the existence of actual claimants; and
 - b. If the transactions were not substantiated with necessary documents and the payable accounts were found to be non-existing without identified valid claimants, the funds intended for the said obligations should be adjusted and reverted to the unappropriated surplus in accordance with the pertinent provisions of PD No. 1445.
4. Other Payables account in the Trust Fund (TF) totaling P4.647 million remained dormant for seven years and more, hence, the validity, and reliability of the reported balance in the financial statements cannot be ascertained.

We recommended that if the payables were proven to be undocumented and without valid claimants, Management should request the Sanggunian to pass a resolution/ordinance to transfer the dormant balances to the General Fund to be utilized for COVID-19 related expenses.

5. Out of the fund transfers from National Government Agencies (NGAs) totaling P2.122 billion, P1.938 billion were fully utilized, P75.542 million were partially utilized and P108.622 million were not utilized for intended programs, projects and activities (PPAs), thus depriving the primary beneficiaries/ constituents of the City of the use, benefits and services of the said PPAs.

We recommended that Management require:

- a. The responsible officials to immediately utilize the funds so that the intended benefits be enjoyed and availed of by the constituents;
- b. If already implemented, require the CAO to prepare Fund Utilization Report to eliminate the liability from the Due to NGAs account; and
- c. The CAO and CTO to return to the source agencies the unspent balance of the fully implemented PPAs.

The aforementioned observations together with the corresponding recommendations were discussed with Management officials concerned during the exit conference on June 18, 2021. Management views and comments were incorporated in the report, where appropriate.

G. Summary of Total Audit Suspensions, Disallowances and Charges as of year-end

The unsettled audit suspensions and disallowance amounted to P26.296 million and P72.311 million, respectively, at the end of the year as reported in the Statement of Audit Suspensions, Disallowances and Charges.

H. Status of Implementation of Prior Years' Audit Recommendations

Of the 79 audit recommendations contained in the CYs 2019, 2018, 2017 and 2016 Annual Audit Report (AAR), 33 or 41.77 percent were implemented and 46 or 58.23 percent were partially implemented during the year.